

Table 49.8 Performance and Failures Over Time for Bull Markets

Description	Bull Market
1990s	53%
2000s	60%
2010s	46%
Performance (above), Failures (below)	
1990s	8%
2000s	6%
2010s	10%

Table 49.8 shows the performance of pipe bottoms over three decades. I only show bull markets because bear markets happened only in the 2000s. They are not included in the statistics.

Performance over time. The 2010s showed the worst performance of the three decades. I wonder if the popularity of the pattern is a cause for the performance decline. I introduced pipes to the world in the first edition of this book (2000), and performance has dropped since. I've heard that once the market learns of a winning setup, it stops working. I don't know if that's true, but it makes me wonder.

Failures over time. Failures mirror performance. The 2000s had the best performance and also have the fewest failures. The 2010s had the worst performance and the most failures.

You might guess that there's a relationship between performance and failures, and I thought there was until I started seeing weird results (such as high performance with lots of failures or low performance with few failures, that kind of thing).

Table 49.9 shows busted pattern performance.

Busted patterns count. In bull markets, over a thousand patterns bust. That sounds huge, but it's only 16% of the pipes I tested.